must authorize the coercion of private persons, and that no coercion should take place unless approved by lawmakers.

Public choice theory gives us a new insight into the drafting of a law. It calls for a second element in every law: the checks and balances that are required to make the state behave well. We in India have traditionally been over-optimistic about a benevolent state, and have skimped on the checks and balances that create accountability and performance. We need to take public choice theory to heart, and thereby bring sound procedures into law where agencies and personnel are mistrusted with power, so as to produce better performance by the state apparatus.

As an example, consider the law that creates UIDAI. It has to contain two parts. The first part involves coercing private persons, to say that if they wish to be part of a government welfare programme, they have no choice but to submit to intrusive biometric requirements. The second part involves coercing the officials in UIDAI, and all public and private persons who utilize the UIDAI data, to engage in fair play towards the people. The need for this second part flows from public choice theory, the scepticism about the benevolence of the state.

Looking deeper into organization design

The policy community should focus on the medium-term agenda of building state capacity rather than the short-term agenda of fixing one small policy problem at a time. Our prime focus should thus be the subject of organization design. Good policy outcomes come from a sound organization design, and vice versa.

Organization design comprises the specification of objectives, the design of the organogram (the organization diagram), and the process manuals.